Max Healthcare

HOW TO READ ANNUAL REPORTS

IN 2025

Using Pareto analysis

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ANNUAL REPORT

It's a document that tells you how the company performed during the year,

- ↳ what major decisions were taken,
- ↳ the key challenges it faced, and
- ↳ what the management is planning for the future.

Pareto analysis : You just need to read 20% of the annual report to get 80% of the information about the company.

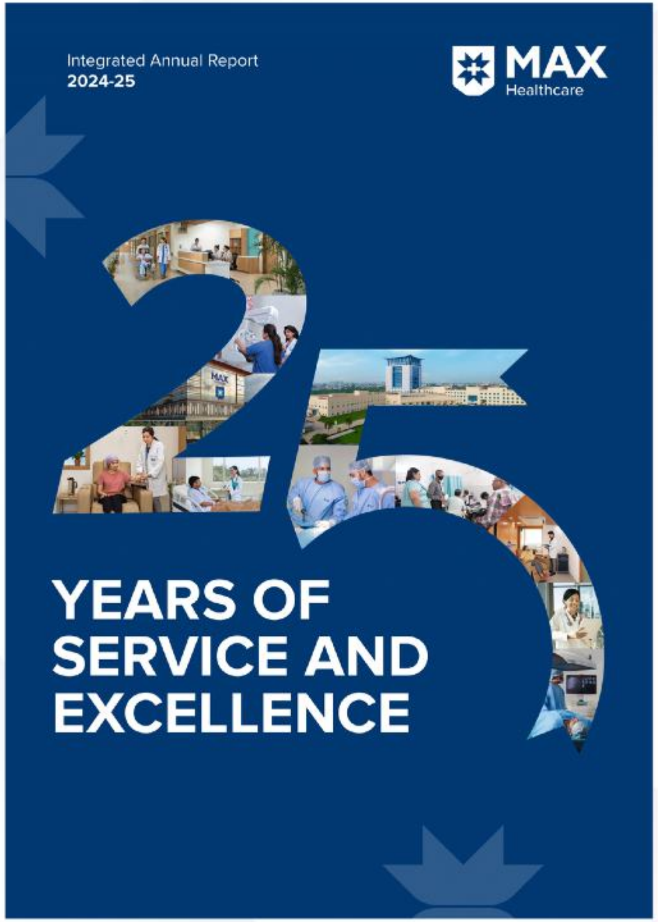


TABLE OF CONTENT

Company Overview

Company Overview

Leading the Way

Management advertisement

Embedding Sustainability at the Core

Sustainability

Capitals Overview

Statutory Reports

Mandatory Disclosure of information to Govt

Financial Statements

Financial Report

MAX HEALTHCARE

ANNUAL REPORT IS PRESENTED IN THESE FOUR MAJOR PARTS:

Corporate Information & Management's Message	Sustainability	Statutory Report	Financial Statements
Provides company details and strategic insights from leadership	Highlights the firm's initiatives on ESG, CSR, and long-term responsible growth	Includes mandatory disclosures, governance reports, and compliance information	Presents audited financial results, performance, and position of the company

SECTIONS TO FOCUS

1. Corporate/Business overview

An intro about the company's history, what it does, its market, products and vision etc.

NOTE: The depth and format of this section can vary across companies, since it isn't strictly defined by regulatory guidelines.

What to look for?

→ How does the business make money?
→ What segment drives revenue?
→ Where does it operate - India or global?
→ Who are its customers B2B or retail?
→ Any major dependency on one region or product?

Max Healthcare at a Glance

Founded 25 years ago, with a vision to transform healthcare in India, Max Healthcare has evolved into one of the country's leading private hospital networks, setting new benchmarks in clinical excellence and patient care. With a market capitalisation of $12.5 Billion, the Company stands as a trusted leader in the sector.

Max Healthcare has established a strong footprint in India's prominent and fast-growing economic hubs, with facilities spanning the National Capital Region (NCR) and cities such as Mumbai, Mohali, Bathinda, Dehradun, Lucknow and Nagpur. Its hospitals are equipped with advanced medical technology, state-of-the-art diagnostic capabilities and modern surgical systems. From Oncology and Transplants to Neurosciences, Cardiac Sciences, and Orthopaedics, Max Healthcare continues to push the boundaries of medical expertise and elevate the standard of healthcare delivery.

The true strength of Max Healthcare lies in its people — a team of over 35,000 dedicated professionals, including 5,000+ skilled clinicians and 12,000 trained paramedics and nurses. Together, they ensure every patient receives world-class care delivered with compassion and precision.

Max Healthcare – A Leader in Tertiary and Quaternary Care Services

22	5,100+	1,600	160
Healthcare Facilities	Beds	Critical Care Beds	Operating Theatres

Expanding Geographical Presence

Max Healthcare has built a strong network of 22 health
11 cities, making specialised healthcare available to div

In the Delhi NCR region, its facilities are located in Sak
(BLK-Max), Patparganj, Shalimar Bagh, Dwarka, Vaishali
Panchsheel Park, Noida and Lajpat Nagar.

Beyond Delhi NCR, Max Healthcare extends its services to major cities such as Lucknow,
Dehradun and Mumbai.

Supporting this network, Max@Home brings healthcare directly to patients across 15+ citie
services in 50+ cities, offering convenience without compromising on quality.

Beyond hospitals, Max@Home and Max Lab are expanding the Company's reach by offering a range of services.

Healthcare-at-Home Services in	Pathology Services in	In Various Branches of Pathology
15 Cities	**50+ Cities**	**2,600+ Tests**

SECTIONS TO FOCUS

2. Management Commentary

A narrative from the management covering what happened in last financial year, why it happened, challenges faced, segment-wise performance, and future outlook etc. It includes letters from the Chairman, CEO, or CFO.

What to look for?

→ What drove growth this year?
→ Are headwinds acknowledged?
→ Any focus on strategy, capex, or expansion?
→ Management tone
→ What are the Future Plans?

Generally, the Letter starts with

Financial performance → Any Headwind/Tailwind faced? → Expansion plan update or announcement → Sustainability → Future outlook

SECTIONS TO FOCUS

3. Board's Report

It's like a letter from the board of the company to shareholder. Where the board summarizes the company's performance for the year. It talks about key updates like dividends, risks, compliance, board changes, and major initiatives taken.

What to look for?

→ Is the company paying dividends?

→ Any legal or regulatory issues mentioned?

→ Changes in board members or KMP?

→ What risks are being described? (if any)

Board's Report

Performance Highlights (Standalone)

The Company's revenue from operations grew by 13.8% to ₹ 2,66,360 Lakh in FY 2024-25, compared to ₹ 2,34,136 Lakh in FY 2023-24. Revenue from operations comprises of ₹ 2,41,133 Lakh of revenue from healthcare services, ₹ 8,686 Lakh revenue from operation and management service fees and ₹ 10,863 Lakh revenue from the sale of pharmaceutical supplies. Other income also went up to ₹ 36,654 Lakh in FY 2024-25 compared to ₹ 26,606 Lakh in the previous year mainly due to increase in dividend from wholly owned subsidiaries and interest income from loans to subsidiaries and partner healthcare facilities.

Dividend

Based on the Company's improved performance and strong cash flows and in line with the Dividend Distribution Policy of the Company, the Board of Directors ("Board") has recommended a final dividend of ₹ 1.50 per equity share of the face value of ₹ 10/- each for FY 2024-25 which translates to 15% of the face value, same as last year. The dividend is subject to the approval

Significant Events and Upcoming Facilities

Establishment of Max Super Speciality Hospital, Dwarka

Merger and Amalgamation

Merger of ALPS Hospital Limited and Max Hospitals and Allied Services Limited, Wholly-Owned Subsidiaries of the Company

Entities Ceased to be Subsidiary during FY 2024-25

- ET Planners Private Limited

Board and its Committees

Appointments

- Dr. Pranav C. Mehta

State of Company's Affairs

The Company continued to scale new heights and has successfully laid a strong foundation for all-round growth in the future. Its network presently consists of 22 (twenty-two) healthcare facilities, including 11 (eleven) hospitals and 4 (four) medical centres in the Delhi and NCR region. The remaining 6 (six) hospitals are located in Mumbai and Nagpur in Maharashtra, Mohali and Bathinda in Punjab, Dehradun in Uttarakhand and Lucknow in Uttar Pradesh and 1 (one) medical centre in Mohali. In addition to its core hospital business, the network also includes two strategic business units ("SBUs") - Max@Home and Max Lab. Max@Home is a platform that provides health and wellness services at home, while Max Lab offers diagnostic services to patients outside of its network hospitals.

The Company, along with its subsidiaries, have strengthened its international presence and now directly operates Patient Assistance Centres ("PAC") in 9 (nine) countries, namely, Kenya (Nairobi), Nigeria (Lagos), United Arab Emirates (Dubai), Oman (Muscat), Myanmar (Yangon), Ethiopia (Addis Ababa), Uzbekistan (Tashkent), Nepal (Kathmandu) and Bangladesh (Dhaka). This is in addition to its indirect presence in 4 (four) countries through 6 (six) partner offices. The Nairobi office continues to focus on promoting tertiary care and highly complex procedures such as bone marrow transplants, liver transplants, paediatric cardiac surgeries and oncology treatments. The Dubai office has completed more than three years and has been able to make a mark for itself in UAE. The international offices are focused on working with local insurance companies, institutional payors such as local governments, hospitals and individual clinicians for coordinating treatment of patients suffering from life threatening diseases at Network Hospitals in India. Further, the Company is maintaining focus on organ transplants and other high-end surgical procedures across all its Network Hospitals. The Company provides medical as well as operation and management services across secondary and tertiary care specialities, with a focus on Oncology, Neurosciences,

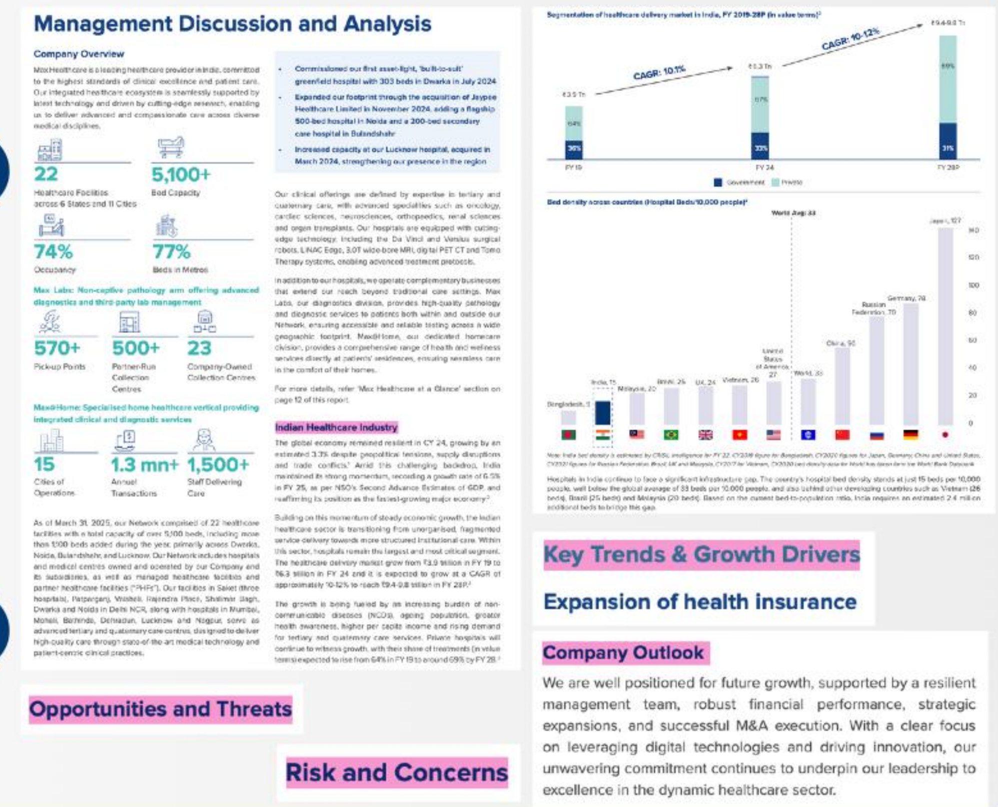
SECTIONS TO FOCUS

4. Management Discussions & Analysis (MD&A)

Star of Annual report

In this the management gives their commentary on

Global Economy → Indian Economy → Industry Dynamics → Overview of own business → Key Opportunities → Major Risk



SECTIONS TO FOCUS

5. Corporate Governance Report

This section gives a detailed view of how the company is managed. It includes details like board composition, number of meetings, director expertise, committees, and management remuneration

2. Governance Structure

At MHIL, a strong governance structure serves as a foundational pillar for ensuring long-term value creation for all stakeholders. The Company's strong governance philosophy is implemented through a multi-level governance structure with clearly defined roles and responsibilities for each element within the structure.

Chairman and Managing Director

- Mr Abhay Soi

Independent Directors

- Ms Amrita Gangotra
- Mr Mahendra Gumanmalji Lodha
- Mr Michael Thomas Neeb
- Mr Pranav Amin
- Dr Pranav C. Mehta

Non-Executive Directors

- Mr Anil Kumar Bhatnagar
- Mr Narayan K. Seshadri

The skills possessed by each Director, as on the date of this report, are given below:

Board Skill	Mr Abhay Soi	Ms Amrita Gangotra	Mr Anil Kumar Bhatnagar	Mr Mahendra Gumanmalji Lodha	Mr Michael Thomas Neeb	Mr Narayan K. Seshadri	Mr Pranav Amin	Dr Pranav C. Mehta
Strategic Leadership & People Management								
Financial & Risk Management								
Healthcare Acumen & Operations								
Marketing & Business Management								
Information Technology & Digital								
Corporate Governance, Public Policy and Legal								
ESG & Sustainability								

SECTIONS TO FOCUS

6. Auditor's Report

This is where external auditors share their opinion on the company's financials. They check if the numbers reported are fair, accurate, and follow accounting standards.

Types of Opinions You'll See
- Unqualified: Everything looks fine
- Adverse: Financials are misrepresented
- Qualified: Some concern, but nothing major
- Disclaimer: Auditor couldn't form an opinion at all

What to look for?
→ What kind of opinion was issued?
→ Are there "Key Audit Matters (KAMS)"? Why are they critical?
→ Any Emphasis of Matter or Other Matter paragraphs?
→ Any red flags in how data was verified or assumptions tested?

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of **Max Healthcare Institute Limited** ("the Company"), which comprise the Balance Sheet as at March 31, 2025, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing ("SAs") specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. We have determined that there are no key audit matters to communicate in our report.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the

SECTIONS TO FOCUS

7. Financial Statements

This is where all the numbers about the business are shared. It's divided into two parts:

→ Standalone Financials: Only show how the core company performed by itself.

→ Consolidated Financials: Include performance of the company plus its subsidiaries and joint ventures.

We'll mainly look into consolidated Financials

Consolidated Balance Sheet

as at March 31, 2025

(in ₹ lakhs)

Particulars	Note	As at March 31, 2025	As at March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	4	4,13,088	2,57,520
Right-of-use assets	5	1,33,025	66,753
Capital work-in-progress	6	90,345	44,325
Investment property	7	455	8,303
Goodwill	8	3,48,325	2,95,247
Other intangible assets	9	2,55,474	2,52,236
Intangible assets under development	10	27	12,779
Financial assets			
(i) Investments	11	289	212
(ii) Trade receivables	12	8,875	8,556
(iii) Loans and advances	13	[illegible]	12,895
(iv) Other financial assets	14	20,834	23,086
Income tax assets (net)		13,828	13,534
Deferred tax assets (net)	15	2,834	
Other assets	16	[illegible]	38,457
Total non-current assets		13,63,191	10,29,276
Current assets			
Inventories	[illegible]	10,521	2,984
Financial assets			
(i) Trade receivables	12	68,731	48,299
(ii) Cash and cash equivalents	17	66,158	12,984
(iii) Bank balances other than (ii) above	18	2,031	8,843
(iv) Loans and advances	13	1,037	-
(v) Other financial assets	14	5,384	4,134
Income tax assets (net)		-	392
Other assets	15	4,855	1,912
Total current assets		1,58,257	1,70,618
TOTAL ASSETS		15,21,448	11,99,994
EQUITY AND LIABILITIES			
Equity			
Equity share capital	19	97,214	97,191
Other equity	20	[illegible]	7,43,623
Total equity		9,38,087	8,40,814
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Borrowings	21	2,25,336	1,36,383
(ii) Lease liabilities	22	49,755	12,794
(iii) Other financial liabilities	23	27,238	34,009
Provisions	24	9,807	7,547
Deferred tax liabilities (net)	15	64,019	58,435
Other liabilities	25	23,352	22,425
Total non-current liabilities		4,01,984	2,34,309
Current liabilities			
Financial liabilities			
(i) Borrowings	21	21,877	8,879
(ii) Lease liabilities	22	[illegible]	2,159
(iii) Trade payables	26		
(a) Total outstanding dues of micro enterprises and small enterprises		825	662
(b) Total outstanding dues of creditors other than micro enterprises and small enterprises		79,967	62,744
(iv) Other financial liabilities	23	[illegible]	[illegible]
Other liabilities	25	18,258	7,821
Provisions	24	7,888	6,715
Total current liabilities		1,81,377	1,24,871
TOTAL EQUITY AND LIABILITIES		15,21,448	11,99,994

Consolidated Statement of Profit and Loss

for the year ended March 31, 2025

(in ₹ lakhs, except per equity share data)

Particulars	Note	Year ended March 31, 2025	Year ended March 31, 2024
I Income			
Revenue from operations	27	7,02,846	5,40,602
Other income	28	15,564	17,694
Total income		7,18,410	5,58,296
II Expenses			
Purchase of drugs, consumables and implants		1,49,641	1,01,904
Change in inventories of drugs, consumables and implants		(1,936)	(53)
Employee benefits expense	29	1,17,401	93,440
Professional and consultancy fee		1,42,470	1,01,689
Finance costs	30	16,522	5,589
Depreciation and amortization expense	31	35,842	24,498
Other expenses	32	1,06,930	74,296
Total expenses		5,76,410	4,21,764
III Profit before exceptional item and tax (I-II)		1,42,000	1,36,532
IV Exceptional item	34.8	7,363	-
V Profit before tax (III-IV)		1,40,637	1,36,532
VI Tax expense			
Current tax	15	33,611	27,125
Deferred tax (credit)/charge	15	(562)	3,643
Total tax expense		33,049	30,768
VII Profit for the year (V-VI)		1,07,588	1,05,764
VIII Other comprehensive loss			
Items that will not be reclassified to profit or loss			
Remeasurement loss on post-employment defined benefit plans	34.01 & 34.02	(510)	(676)
Income tax effect on above		80	83
Items that will be reclassified to profit or loss			
Exchange differences on translation of foreign operation		(25)	(52)
Total other comprehensive loss for the year, net of taxes		(455)	(645)
IX Total comprehensive income for the year (VII-VIII)		1,07,133	1,05,119
X Earnings per equity share (Equity shares of par value ₹10 each)	34.11		
Basic (₹)		11.07	10.89
Diluted (₹)		11.01	10.84

Consolidated Statement of Changes in Equity

for the year ended March 31, 2025

A) EQUITY SHARE CAPITAL

Particulars	Numbers	(in ₹ lakhs)
Equity shares of ₹ 10 each issued, subscribed and fully paid		
As at April 1, 2023	97,09,22,825	97,092
Add: Shares issued on exercise of employee stock options (refer note 19)	9,89,583	99
As at March 31, 2024	**97,19,12,408**	**97,191**
Add: Shares issued on exercise of employee stock options (refer note 19)	2,29,645	23
As at March 31, 2025	**97,21,42,053**	**97,214**

Max Healthcare

THANK YOU!

Harsh Aryan